

Exchange rate response to news

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1 Introduction

Coleman and Karagedikli (2012)

2 Literature review

3 Data and methodology

4 Results

Table 1

group_var	model	SA News	SA Residuals	Decomposed	Undecomposed
10-year Rates		0.0019			
	change_forward_10y_models	(0.0254) -0.0117			
	change_ois_10y_models	(0.026)	0.0128		
	change_ois_10y_models		(0.0281) 0.0128	0.8397*	
	change_ois_10y_models		(0.0289)	(0.4542)	0.0134
	change_ois_10y_models				(0.028)
2-year Rates		-0.0051			
	change_forward_2y_models	(0.0174) -0.0048			
	change_ois_2y_models	(0.0189)	-0.0135		
	change_ois_2y_models		(0.0428) -0.0135	2.0724*	
	change_ois_2y_models		(0.0425)	(1.1483)	-0.0119
	change_ois_2y_models				(0.046)
5-year Rates		-0.0025			
	change_forward_5y_models	(0.0233) -0.0074			
	change_ois_5y_models	(0.0242)	-0.0006		
	change_ois_5y_models		(0.0379) -0.0006	1.3331*	
	change_ois_5y_models		(0.04)	(0.7047)	0.0005
	change_ois_5y_models				(0.0399)
Spot		-0.0099*			
	change_ln_spot_models	(0.0051)			

Response to Target

Table 2

group_var	model	SA News	SA Residuals	Decomposed	Undecomposed
10-year Rates		0.0356			
	change_forward_10y_models	(0.0481) -0.0617			
	change_ois_10y_models	(0.0519)	0.0112		
	change_ois_10y_models		(0.0284) 0.0112	0.4222*	
	change_ois_10y_models		(0.0283)	(0.232)	0.0134
	change_ois_10y_models				(0.028)
2-year Rates		-0.0179			
	change_forward_2y_models	(0.0302) -0.0082			
	change_ois_2y_models	(0.0371)	-0.0138		
	change_ois_2y_models		(0.0439) -0.0138	3.1907*	
	change_ois_2y_models		(0.0444)	(1.7531)	-0.0119
	change_ois_2y_models				(0.046)
5-year Rates		-0.0082			
	change_forward_5y_models	(0.0349) -0.0179			
	change_ois_5y_models	(0.0386)	-0.0013		
	change_ois_5y_models		(0.0379) -0.0013	1.4558*	
	change_ois_5y_models		(0.0391)	(0.8057)	0.0005
	change_ois_5y_models				(0.0399)
Spot		-0.026*			
	change_ln_spot_models	(0.0145)			

Response to forward

Table 3

group_var	model	SA News	SA Residuals	Decomposed	Undecomposed
10-year Rates		0.1294*			
	change_forward_10y_models	(0.074) -0.101			
	change_ois_10y_models	(0.0681)	0.0172		
	change_ois_10y_models		(0.0283) 0.0172	-0.2812	
	change_ois_10y_models		(0.0283)	(0.2334)	0.0134
	change_ois_10y_models				(0.028)
2-year Rates		0.0012			
	change_forward_2y_models	(0.0401) 0.0272			
	change_ois_2y_models	(0.044)	-0.0183		
	change_ois_2y_models		(0.0411) -0.0183	1.0435	
	change_ois_2y_models		(0.041)	(0.8822)	-0.0119
	change_ois_2y_models				(0.046)
5-year Rates		0.0232			
	change_forward_5y_models	(0.0491) 0.0052			
	change_ois_5y_models	(0.0436)	-0.0001		
	change_ois_5y_models		(0.036) -0.0001	5.5103	
	change_ois_5y_models		(0.0386)	(4.5816)	0.0005
	change_ois_5y_models				(0.0399)
Spot		0.0284			
	change_ln_spot_models	(0.0241)			

Response to information

Table 4

group_var	model	SA News	SA Residuals	Decomposed	Undecomposed
10-year Rates		0.0899			
	change_forward_10y_models	(0.1031) -0.075			
	change_ois_10y_models	(0.0989)	0.0145		
	change_ois_10y_models		(0.0274) 0.0145	-0.1979	
	change_ois_10y_models		(0.0277)	(0.1879)	0.0134
	change_ois_10y_models				(0.028)
2-year Rates		0.0477*			
	change_forward_2y_models	(0.0284) -0.0328			
	change_ois_2y_models	(0.0287)	-0.009		
	change_ois_2y_models		(0.0442) -0.009	-0.4523	
	change_ois_2y_models		(0.0442)	(0.4234)	-0.0119
	change_ois_2y_models				(0.046)
5-year Rates		0.0745			
	change_forward_5y_models	(0.0535) -0.0597			
	change_ois_5y_models	(0.0542)	0.0028		
	change_ois_5y_models		(0.0371) 0.0028	-0.249	
	change_ois_5y_models		(0.0387)	(0.2254)	0.0005
	change_ois_5y_models				(0.0399)
Spot		0.0149			
	change_ln_spot_models	(0.0107)			

Response to risk

5 Conclusion

References

Coleman, A. and Karagedikli, Ö. (2012). The relative size of exchange rate and interest rate responses to news: An empirical investigation. *The North American Journal of Economics and Finance*, 23(1):1–19.

A Appendix

A.1 Data